POWERGRID Infrastructure Investment Trust

पीजीइन्विट
PGInvIT



Investor Presentation
Q1FY 2025

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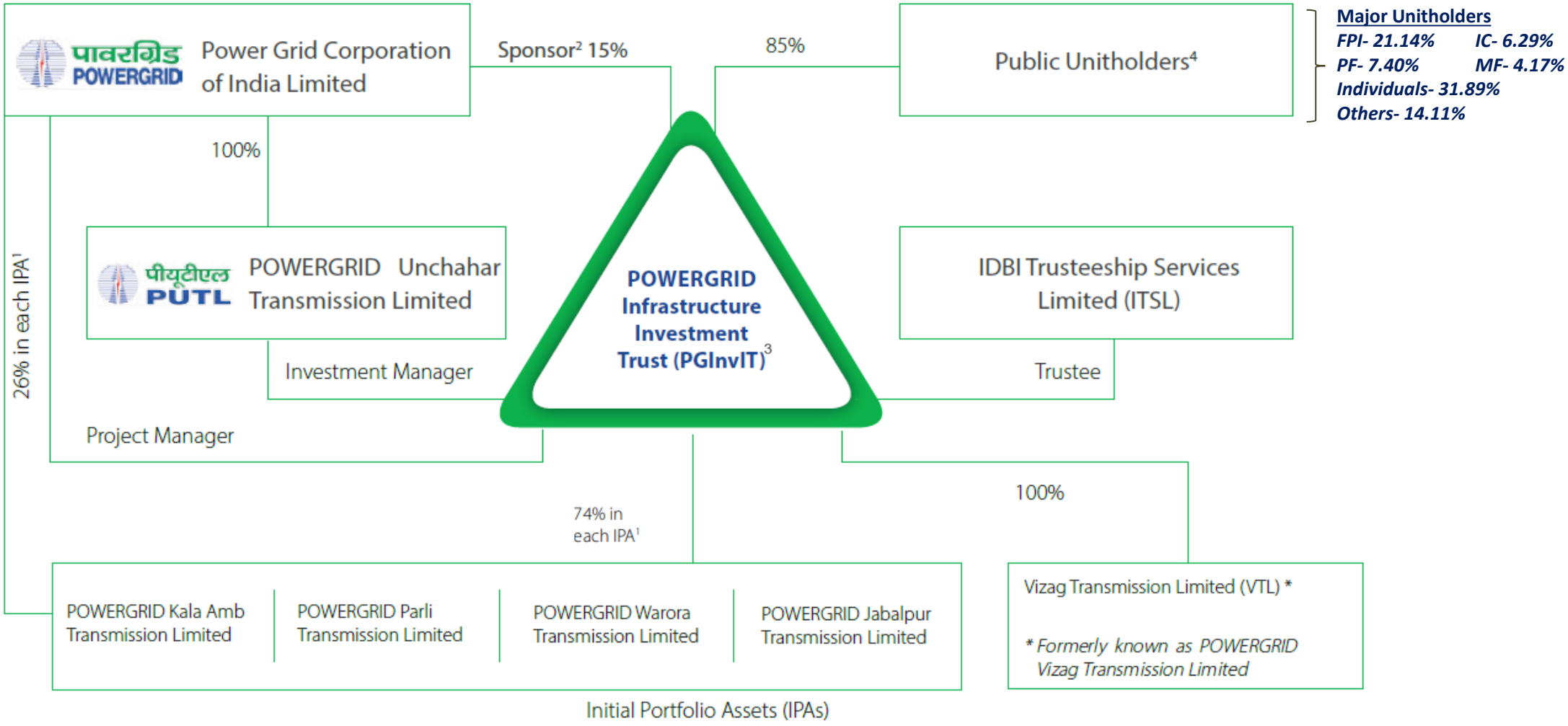
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Presentation Outline

PGInvIT Overview	Trust Structure
	PGInvIT at a glance
PGInvIT Performance	Operational
	Financial
Distribution	
Project Updates	
Business Outlook	
Glossary	

PGInvIT Structure

(as on June 30, 2024)



Notes:
1. Balance 26% stake eligible for acquisition, after expiry of the lock-in conditions under the TSA. i.e. PKATL(Jul'22); PPTL(Jun'23), PWTL(Jul'23) and PJTL(Jan'24)

2. Holds 136.5 mn units
3. Total 910.0 mn units
4. Hold 773.5 mn units

FPI-Foreign Portfolio Investor; IC- Insurance Cos.; PF- Pension Fund/ Provident Fund; MF- Mutual Funds

PGInvIT at a glance

India's 1st InvIT sponsored by a CPSE…. confidence of marquee investors….
….powered by AAA – Assets….Assurance….Advantage

Sponsor & Project Manager- POWERGRID ***a Maharatna CPSE; one of the largest transmission utilities, globally***	***5 Operational and Revenue Generating ISTS TBCB SPVs***	***Perpetual ownership with 35-year contract period***	***Availability-based Tariff***	***Billing and Collection through CTUIL***
11 Tr. lines; 3,699ckm **3 substations;** **6,630 MVA**	**>98%** **Availability since DOCO**	**28+ yrs** **Avg. TSA Residual Life** ***(as on Jun-24)***	**Strong governance framework**	***Listed on NSE & BSE*** *part of Nifty REITs & InvITs Index*
₹ 84.70 billion ***Enterprise Value*** *(as on Mar. 31, 2024)*	***0.26%*** ***Net Debt/ AUM*** *(as on Mar. 31, 2024)*	***AAA*** ***Credit Ratings***	***₹ 37.50 per Unit**** ***DPU since listing*** *(* Incl. Rs.3.00 declared in July 2024)*	***₹ 12 per Unit*** ***DPU guidance for FY25***

Experienced Investment Manager | ***World Class Project Manager*** | ***Vibrant & Growing Power Sector*** | ***Debt funded acquisition strategy***

PGInvIT- Initial Portfolio Assets

Description	VTL	PKATL	PPTL	PWTL	PJTL
Location	Andhra Pradesh and Telangana	Himachal Pradesh	Maharashtra	Madhya Pradesh and Maharashtra	Madhya Pradesh
No. of lines & substations	2 lines	1 line; 1 S/S	3 lines; 1 S/S	4 lines; 1 S/S	1 line
Line length (ckm)	956.84	2.47	966.12	1,028.11	745.05
Transformation capacity (MVA)	-	630	3,000	3,000	-
Comml. Operation Date	Feb 2017	Jul 2017	Jun 2018	Jul 2018	Jan 2019
% shareholding acquired by PGInvIT	74%- IPO 26%- Mar22	74%- IPO	74%- IPO	74%- IPO	74%- IPO
Lock-in expiry (for Bal. 26%)	**January 2022**	**July 2022**	**June 2023**	**July 2023**	**Jan 2024**
Residual Life of TSA (years)	27.58	28.03	28.93	29.03	29.50

5 *TBCB projects*

11 tr. lines
3,698.59 ckm

3 *Sub-stations*
6,630 MVA

1,955.66 km
Optical ground wire

28+ years
Avg. residual life

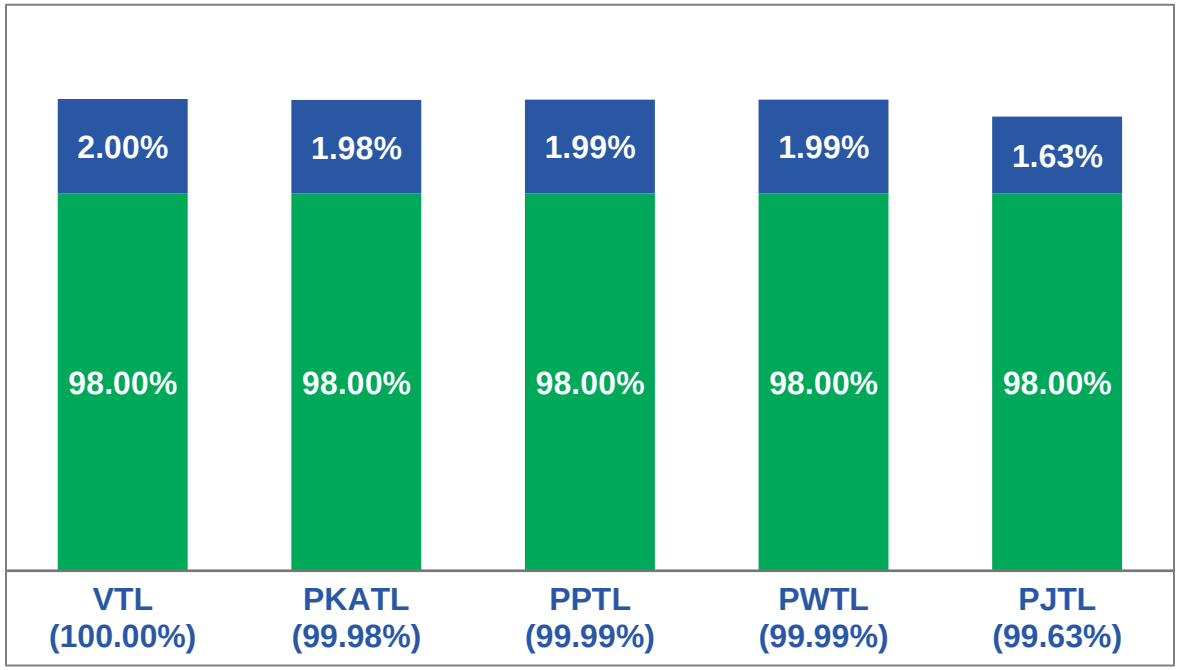
Operational Performance –Q1FY25

Surpassing Availability Goals with POWERGRID's O&M Management for PGInvIT

POWERGRID's in-house capabilities help PGInvIT in …

- preventive maintenance
- facilitating OEM support
- safety drills and trainings
- drone patrolling of Transmission Lines

Avg. Availability* - Q1FY25



** Provisional. Under Approval by RPC*

Safe & Efficient Operations

Average Availability since DOCO ***>98%***

Financial Performance – Q1FY25

Financials providing consistent, stable, visible returns for unitholders

Financials (Consolidated)

Total Income

- ₹ 3,266.80 Mn

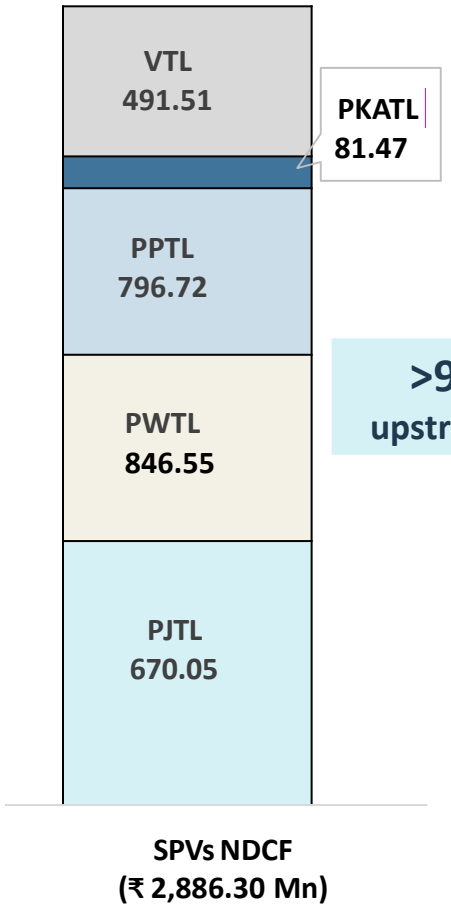
Operating Expenses

- ₹ 222.64 Mn

Total Debt
₹ 5,691 Mn

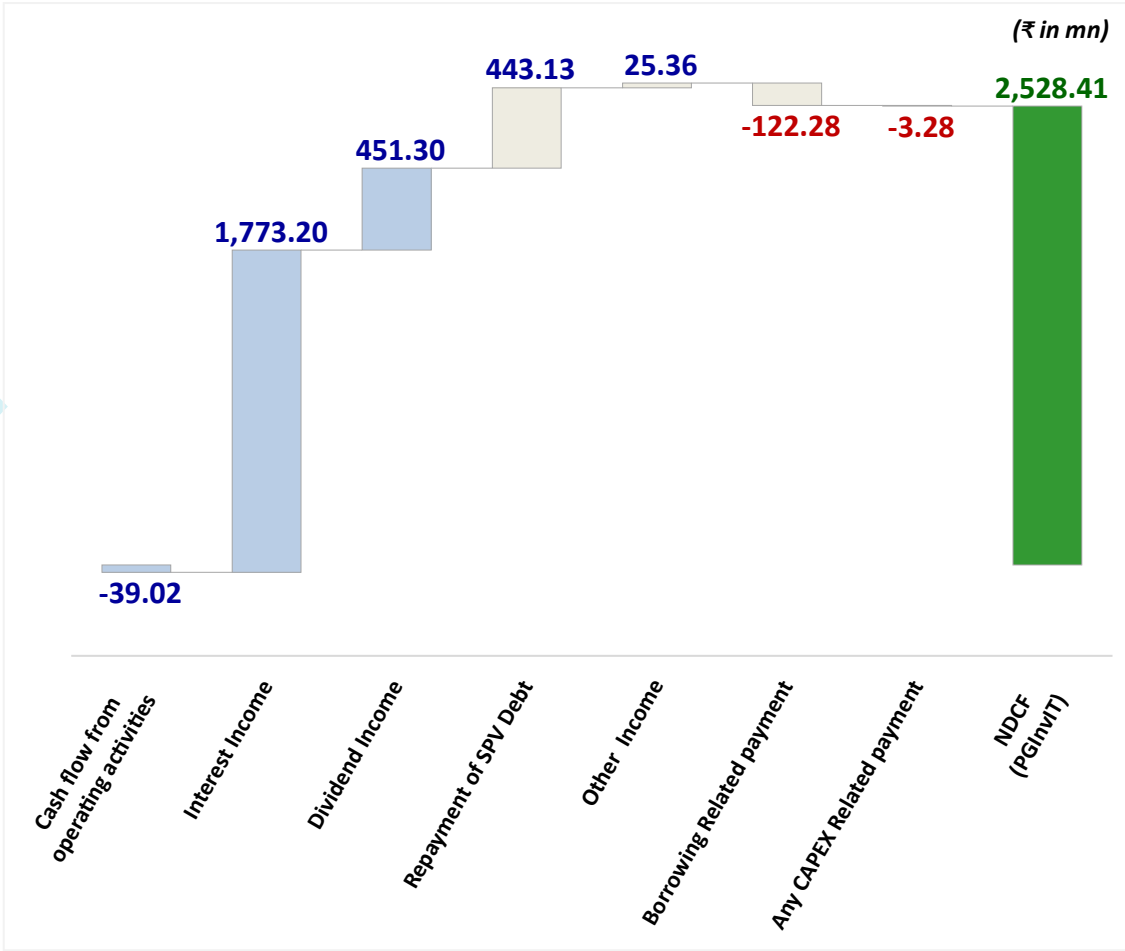
Receivable Days
42

NDCF at SPVs



>90% upstreamed

NDCF at PGInvIT (Q1FY2025)



Debt Profile

External Debt			
Bank Loan (Drawn in Mar-22)	**Rate of Interest**	**Tenor**	**Loan Outstanding** (as on June 30, 2024)
~Rs.5,756 mn	Linked to 3-month T-bill; Reset on quarterly basis	16 years	~Rs. 5,691 mn

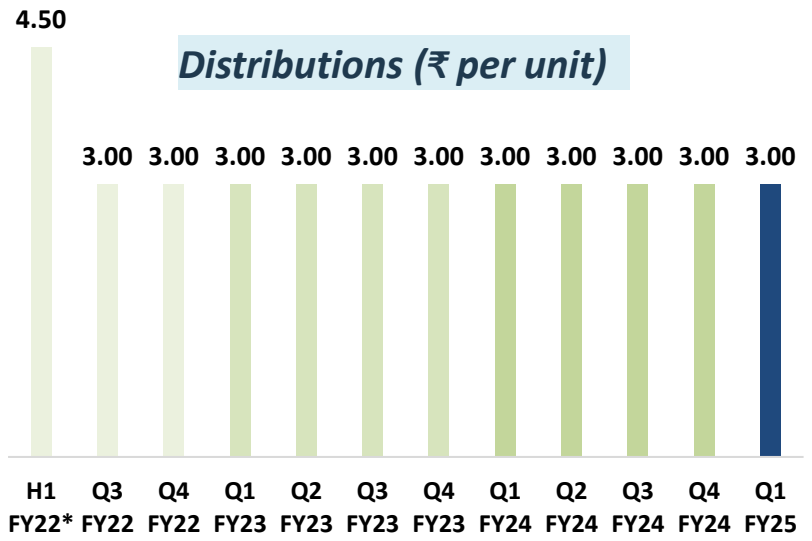
More than 76% Debt repayment post 10 years

Interest Rate as on 30.06.2024 : 8.09%

Distribution

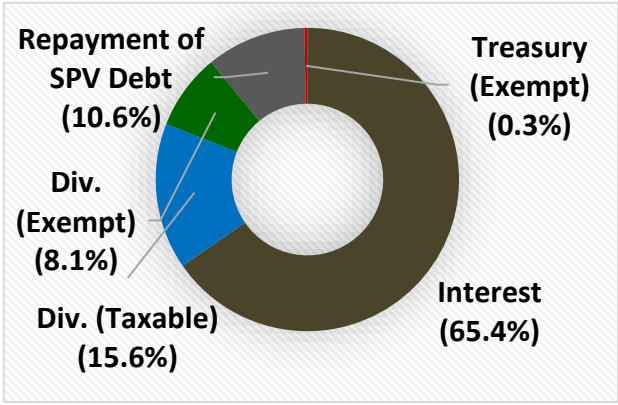
₹ 3.00 per unit

- ₹ 1.99 - Interest
- ₹ 0.31 - Dividend (Taxable)
- ₹ 0.13 - Dividend (Exempt)
- ₹ 0.55 - Repayment of SPV Debt
- ₹ 0.02 - Treasury Income (Exempt)



*(*period May 13, 2021 to June 30, 2024)*

Total Distribution since IPO
₹ 37.50 per unit #



(# incl. Rs.3.00 declared in July 2024)

Distribution Guidance for FY2024-25: ₹ 12 per unit

PGInvIT Distribution Policy

- InvIT Assets to distribute not less than 90% of each of their NDCF to the Trust
- Trust to distribute at least 90% of the Distributable Income to the Unitholders
- Distribution to be declared and made not less than once every quarter

RTM Project Updates

1 X 125 MVAr, 420 kV Bus Reactor at Kala Amb Substation along with 2 Nos. associated bays

- Project allotted to PKATL under RTM
- License from CERC received
- Debt-Equity Ratio - 70:30
- Commissioned on 5th February 2024
- Tariff to be determined as per applicable CERC Regulations. Tariff Petition filed.
- Return on Equity : 15.5% (as per CERC Regulations 2019-24)

1 x 400 kV line bay at 765/400 kV Parli Substation for RE Interconnection

- Allotted to POWERGRID Parli Transmission Limited on 02.01.2024
- Implementation by : 31.12.2025
- Estimated Cost : Rs. 18 Cr.*
- Tariff to be determined as per applicable CERC Regulations
- Return on Equity : 15.0% (as per Draft CERC Regulations 2024-29)
- Application for Separate Transmission License filed in CERC. Order issued.

* - Cost Estimated by CTU in their approval.

Business Outlook

Acquisition Opportunities

- Targeted through debt
- Valuation by Independent Valuer
- Corporate Governance Framework of PGInvIT
- Policy on Related Party Transactions

Balance 26 % of PKATL, PPTL, PJTL & PWTL

- Matter taken up with Sponsor

Other Acquisition opportunities

❑**Asset Sale by Other Developers**

- Limited Acquisition opportunities at present, sector to see more assets getting commissioned and completing 1 year of operations in 12- 18 months

❑**GoI's recommendations to States for monetization**

- Ongoing policy advocacy with States

❑**GoI's National Monetization Pipeline**

- Sponsor presently prefers Securitization over monetization through InvIT

Factors driving India's Power Sector

- Increasing Energy Demand
- Global Renewable Energy push
- Policy and Regulatory Reforms

Enablers for PGInvIT's Debt-funded Acquisition Strategy

- Ambitious domestic and global investments
- Significant capacity for leveraging debt in acquisitions
- Strong lender confidence and consistent payment track record
- 'AAA' credit rating from CARE, CRISIL, and ICRA since IPO

Glossary

Term	Description
AUM	Assets Under Management
ckm	circuit kilometres
CPSE	Central Public Sector Enterprise
CTUIL	Central Transmission Utility of India Ltd
DOCO	Date of Commercial Operation
Q1FY25/Q1FY2025	Quarter ended June 30, 2024
PGInvIT	POWERGRID Infrastructure Investment Trust
IM	Investment Manager
InvIT	Infrastructure Investment Trust
IPA	Initial Portfolio Assets (used interchangeably with SPV)
IPO	Initial Public Offer
ISTS	Inter-State Transmission System
MVA	Mega Volt Ampere
NDCF	Net Distributable Cash Flows
OEM	Original Equipment Manufacturer
PJTL	POWERGRID Jabalpur Transmission Limited
PKATL	POWERGRID Kala Amb Transmission Limited
POWERGRID	Power Grid Corporation of India Limited
PPTL	POWERGRID Parli Transmission Limited
VTL	Vizag Transmission Limited (formerly POWERGRID Vizag Transmission Limited, “PVTL”)
PWTL	POWERGRID Warora Transmission Limited
RPC	Regional Power Committee
SPV	Special Purpose Vehicle (used interchangeably with IPA)
TBCB	Tariff Based Competitive Bidding
TSA	Transmission Service Agreement

Thank you